Data-Driven Retention Strategy & Revenue Risk Audit

High churn rates threaten revenue stability in subscription businesses. The goal of this analysis is to **identify the factors that drive churn and revenue exposure**.

Dataset

- **440k customers**
- Behavioral + financial variables

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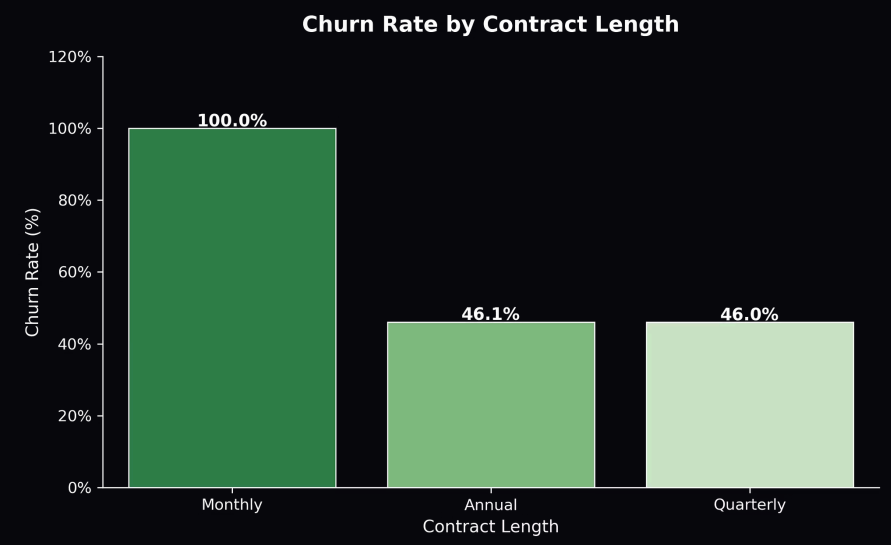
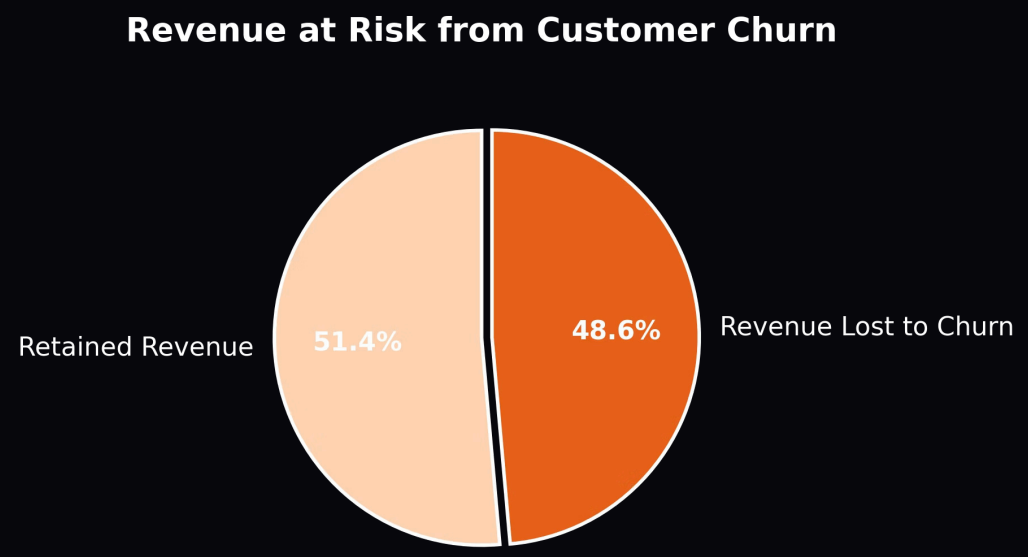
Key Findings





Contractual Instability as a Churn Catalyst

Monthly contracts drive churn risk → **priority segment for retention strategies**

Retained customers

Spend **~38% more on average** → **focus on value-based retention**

Revenue risk

48.6% of total revenue comes from customers who eventually churn

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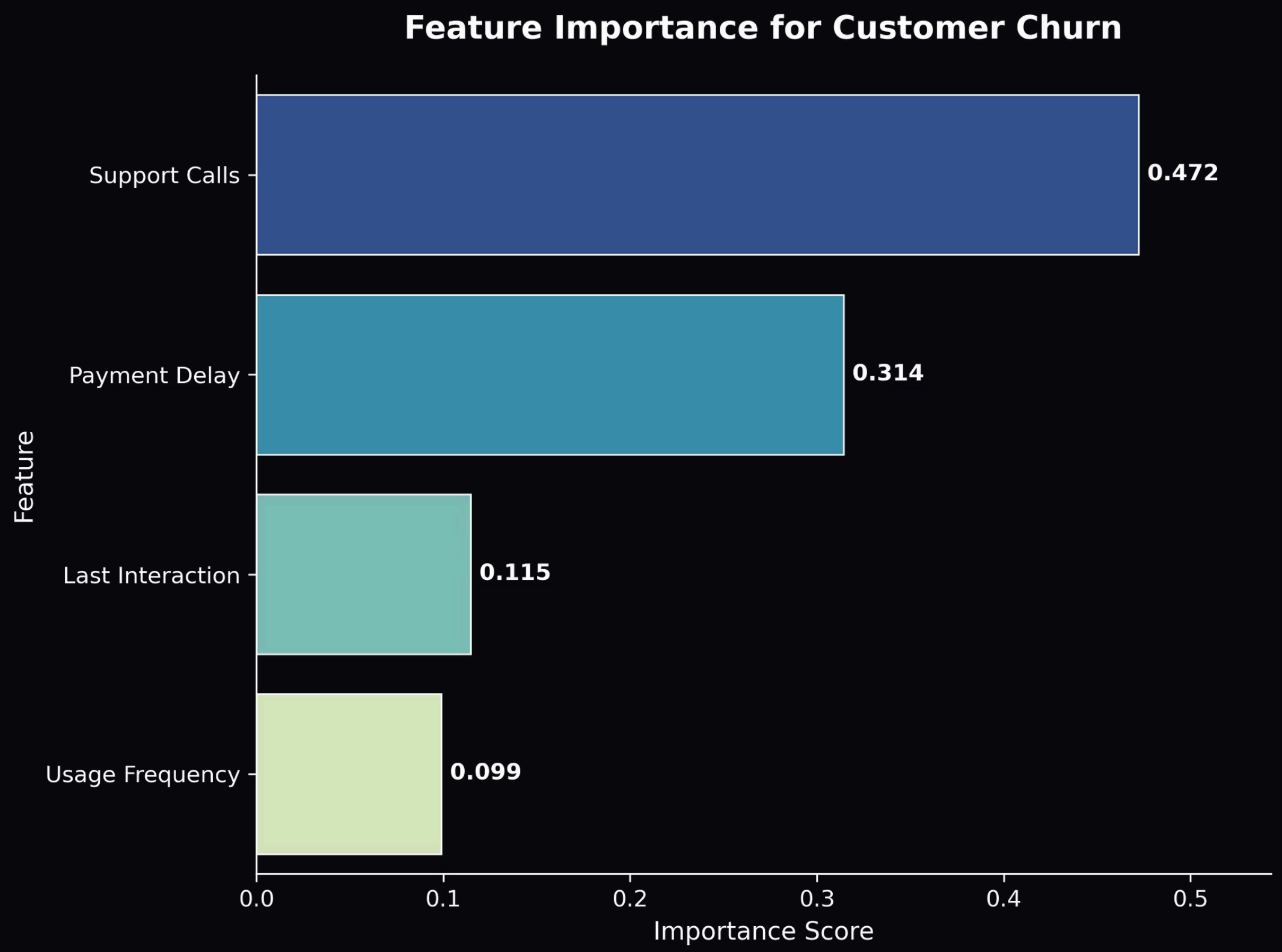
Support interactions are 4x more predictive of churn than low product usage



Feature Importance — Insights

→ **Support Calls**

Strongest predictor of churn

→ **Payment Delays**

Second most important factor

→ **Engagement Metrics**

Weakest signals

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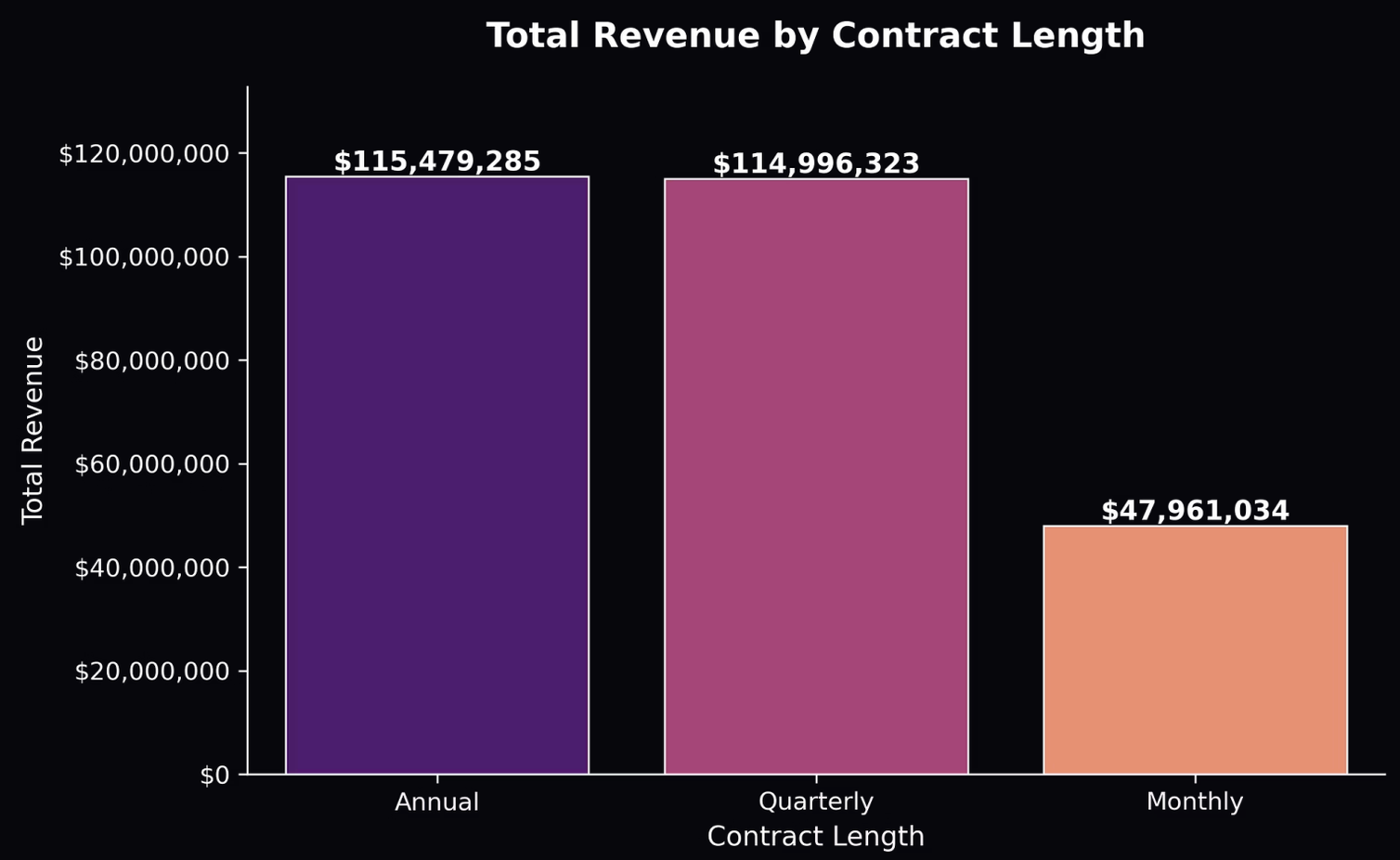
Revenue Implications



Quarterly and Annual Contracts

→ **core** revenue base

Monthly Contracts

→ **high risk**, low value

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Strategic Recommendations

1

Support Audit (Immediate)

Conduct a Root Cause Analysis (RCA) on support tickets to identify the specific technical friction points causing the ~50% importance spike.

2

Contract Migration (Short-term)

Design an incentive program to transition "At-Risk" monthly subscribers to quarterly/annual plans, which show 50%+ higher retention rates.

3

Predictive Early Warning System (Long-term)

Integrate the Random Forest classifier into the CRM workflow to trigger proactive 'Success Reach-outs' when a customer hits a high-risk support or payment delay threshold.

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